NUNO FONTOURA · FREE RESOURCE

MARGIN DIAGNOSTIC

The Agency Margin Leak Map

Seven places margin leaks between brief and cash. Estimate each one in five minutes, then install the system that closes it.

■ Fillable PDF ■ 11 pages ■ 50 minutes

THE PREMISE

Margin rarely disappears in one place

An agency can win good work, deliver it well and still keep less than it should. The money goes quietly: in pitches that never convert, in extras nobody priced, in a quote that was wrong before the job began.

This map covers seven leaks, plus the outside pressures that widen them: late payment and a shifting economy. Measure each from your last twelve months of data, then install the system on your side that closes it. Leak 3 applies only to agencies that make physical product.

In this map, "margin leak" means avoidable profit, contribution or cash-flow impact. Figures are estimates.

HOW TO USE IT

1. **Measure.** Type figures into the grey fields. In Acrobat or Edge, totals work themselves out.
2. **Install.** Each leak page has a ready-made system: a checklist, template or rule. Fill it in.
3. **Choose three.** Page 10 collects your figures. Pick the three most material and re-measure in 30 days.

Type into the fields and save, or print and write by hand.

THE SEVEN LEAKS

Win

1. Pitching
Free work spent chasing business that does not convert.

2. Scope creep
Delivered work that was never priced.

Make

3. Unit cost
Product quoted below what it truly costs. *Production only.*

6. Capacity-bound revenue
Income that grows only as delivery hours do.

Keep

4. Cash tied up
Your cash committed before you can bill.

5. Late invoices
Overdue cash that is earned but not yet yours.

7. Informal systems
Work that stops when one person is away.

LEAK 1 OF 7

Pitching

Pitching is a cost of sale. Most agencies never total it, so it never gets a budget, and every pitch gets full effort whatever the odds.

MEASURE IT

LAST 12 MONTHS	YOUR FIGURE
Pitches you put together	
Average hours of team time per pitch	
Blended internal cost per team hour £ · fully loaded, not your billing rate	
Pitches won	
Total cost of pitching (cost of sale) £ · works itself out	
Cost of each win £ · works itself out	

INSTALL IT

A pitch budget and a go or no-go checklist

Decide before you start, not after you have spent the week. Pitch only when the first two are true, and at least two of the other three.

- [ ] **Must:** We know the budget, or the budget range, before we start.
- [ ] **Must:** We have the capacity to deliver it if we win.
- [ ] The client fits the work we already do well.
- [ ] We have spoken to the person who decides, not only the person who briefed us.
- [ ] The pitch is paid, or the free part is capped.

MAXIMUM HOURS PER PITCH

MAXIMUM SPEND PER PITCH £

WHO SAYS GO OR NO-GO

YOUR INSTALL PLAN

WHO OWNS THE INSTALL

START DATE

YOUR 30-DAY TARGET cost per win, or maximum pitch hours

LEAK 2 OF 7

Scope creep

Every small extra feels reasonable at the time. Added together they are a project you delivered and never invoiced.

MEASURE IT

Last four projects: hours delivered outside the signed scope.

PROJECT	HOURS OUTSIDE SCOPE
Total hours given away	
Your hourly rate to clients £	
Value of work given away £ · works itself out	

INSTALL IT

Scope that says what is out, and a one-page change request

- [ ] Every proposal lists what is **not** included.
- [ ] Every contract attaches a one-page change request.
- [ ] No material extra work starts without written approval. Minor ones are logged.

CHANGE REQUEST TEMPLATE

WHAT IS BEING ASKED FOR

EXTRA HOURS

EXTRA PRICE £

IMPACT ON DELIVERY DATE

YOUR INSTALL PLAN

WHO OWNS THE INSTALL

START DATE

YOUR 30-DAY TARGET hours outside scope

LEAK 3 OF 7 · PHYSICAL PRODUCTION ONLY

Unit cost

A quote built on a rough cost per unit can be wrong before the first piece is made. Setup, wastage and overhead are the lines most often left out.

MEASURE IT

Last product run. Enter costs as totals for the whole run.

COST PER UNIT, LAST RUN	YOUR FIGURE
Cost per unit you quoted £	
Saleable units in the run	
Materials actually used, run total £	
Labour actually spent, run total £	
Setup and changeover, run total £	
Wastage and rejects, run total £	
Fair share of overhead, run total £	
Actual cost per unit £ · run total divided by saleable units	
Gap against your quote £ per unit · actual cost minus quoted cost	
Units you make in a year	
Under-recovered cost each year £ · works itself out	

INSTALL IT

One cost sheet, used for every quote

Use these lines as a template. Share overhead out on what causes it, not a flat percentage.

- [ ] No quote goes out without every cost line filled in.
- [ ] After each run, actual cost is entered next to the quote.

YOUR INSTALL PLAN

WHO OWNS THE INSTALL

START DATE

YOUR 30-DAY TARGET gap per unit, in pounds

LEAK 4 OF 7

Cash tied up

Margin on paper is not cash in hand. Every day stock sits on a shelf, or a client sits on an invoice, you are lending your own money.

MEASURE IT

Cash you have committed to delivery before you are entitled to bill. Money owed after the invoice is Leak 5. Include materials and stock where you hold them.

LAST 12 MONTHS	YOUR FIGURE
Annual delivery cost £ · materials, bought-in costs and delivery labour	
Days from committing delivery cost to issuing the invoice	
Work done and not yet invoiced today £ · for reference	
Days you take to pay your own suppliers	
Days your own cash is committed before you can bill days to invoice – days you take to pay suppliers	
Estimated cash exposure £ · works itself out	

INSTALL IT

A monthly cash-cycle sheet

Fill in the three figures on the same day each month. Choose one to shorten and set a number of days.

MONTH	DAYS TO INVOICE	UNBILLED WORK, £	DAYS YOU PAY SUPPLIERS

Lever I will pull first: ☐ Invoicing speed ☐ Deposits ☐ Payables, agreed in writing

YOUR INSTALL PLAN

WHO OWNS THE INSTALL

START DATE

YOUR 30-DAY TARGET days from cost to invoice

LEAK 5 OF 7

Late invoices

Work done and invoiced is still not yours until it is paid. Agreed terms and a fixed routine decide how long that takes.

MEASURE IT

RIGHT NOW	YOUR FIGURE
Total invoiced in the last 12 months £	
Value of invoices past their terms £	
Number of invoices past terms	
Average days past terms	
Share of a year's billing that is overdue % · a collection indicator, not a margin figure	

INSTALL IT

Terms on every quote, and one chase routine

DEPOSIT ON ACCEPTANCE %

PAYMENT TERMS days

FIXED WEEKLY CHASE DAY

- [ ] Deposit or milestone payments are written on every quote. For production, the deposit covers materials.
- [ ] Payment terms are on the quote and the invoice, in the same words.
- [ ] One named person chases on the fixed day, using the ladder below.

Example ladder: day 1, reminder with statement. Day 7, direct email to the client contact. Day 14, call and escalate to the commercial owner. Day 30, pause discretionary work and escalate formally. Adapt it to your contract and the client relationship.

DAYS PAST TERMS	WHAT HAPPENS, AND WHO DOES IT

YOUR INSTALL PLAN

WHO OWNS THE INSTALL

START DATE

YOUR 30-DAY TARGET overdue value, or average days past terms

LEAK 6 OF 7

Revenue constrained by delivery capacity

If growth needs a matching rise in delivery hours or headcount, you scale revenue without improving leverage. Packaging one service breaks that link.

MEASURE IT

LAST 12 MONTHS	YOUR FIGURE
Revenue £	
People on payroll, full-time equivalent	
Revenue per person £ · works itself out	
Of your last 10 jobs, how many were priced by the hour	
Share of work priced by time % · works itself out	

INSTALL IT

One packaged service, priced per output

THE SERVICE

FIXED SCOPE, IN ONE SENTENCE

PRICE PER OUTPUT £

HOURS TO DELIVER IT

FULLY LOADED DELIVERY COST PER HOUR £

BOUGHT-IN COSTS PER OUTPUT £

CONTRIBUTION PER PACKAGE £ · price minus direct cost

CONTRIBUTION % · works itself out

- [ ] The steps are written down, so anyone trained can deliver it the same way.

YOUR INSTALL PLAN

WHO OWNS THE INSTALL

START DATE

YOUR 30-DAY TARGET share of work sold as fixed-scope packages

LEAK 7 OF 7

Informal systems

What lives in one person's head works until that person is away, busy or gone. A written checklist and a named backup turn it into a system.

MEASURE IT

List the processes that would stop delivery if the person running them were away for two weeks.

PROCESS	WHO RUNS IT	WRITTEN?	BACKUP
		☐	
		☐	
		☐	
		☐	

NO WRITTEN CHECKLIST

NO NAMED BACKUP

HURTS MOST IF IT FAILS

INSTALL IT

A one-page checklist for each critical process

CHECKLIST TEMPLATE

PROCESS

STARTS WHEN

STEPS, IN ORDER

DONE WHEN

OWNER

BACKUP OWNER

☐ The backup has performed it at least once, from this checklist.

YOUR INSTALL PLAN

WHO OWNS THE INSTALL

START DATE

YOUR 30-DAY TARGET critical processes with a trained backup

BEYOND THE SEVEN

Outside pressure, inside systems

You cannot stop late payment or a shifting economy. You can set the rules and buffers that decide the cost.

LATE PAYMENT: PUT YOUR RIGHTS IN YOUR TERMS

- [ ] Our terms state our right to statutory interest and compensation on late payments, subject to contract, law and advice.
- [ ] The same wording is on every quote and invoice.
- [ ] We have decided the day we apply it, and who has the authority to waive it.

APPLY IT AFTER days past terms

WHO CAN WAIVE IT

DATE TO CHECK THE CURRENT RULES with your accountant or solicitor

ECONOMIC SHIFTS: A BUFFER, A PRICE REVIEW AND A TRIGGER PLAN

YOUR BUFFERS	YOUR FIGURE
Cash you could draw on today £	
Fixed costs each month £ · payroll, rent, software, loans	
Weeks of fixed costs covered works itself out	
Revenue from your largest client £	
Total revenue £	
Share of revenue from one client % · works itself out	

BUFFER TARGET weeks

CAP ON ONE CLIENT % · by profit and payment record

PRICE AND COST REVIEW how often, and who

- [ ] Contracts longer than three months include a price-review clause.

TRIGGER PLAN

IF THIS HAPPENS e.g. a client cuts its budget

WE DO THIS and who does it

IF THIS HAPPENS e.g. supplier costs rise

WE DO THIS and who does it

YOUR MAP

All seven leaks in one place

Leaks 1 to 5 fill in from earlier pages in Acrobat or Edge. Elsewhere, copy the figure across.

LEAK	YOUR FIGURE
1. Pitching cost of sale, £ a year	
2. Scope creep unbilled delivery, £	
3. Unit cost under-recovered, £ a year	
4. Cash tied up cash exposure, £	
5. Late invoices overdue receivables, £	
6. Capacity-bound revenue % priced by time	
7. Informal systems processes with no checklist	
Estimated annual profit impact leaks 1 to 3, indicative	

Indicative, not accounting measures. Review leaks 4 and 5 together: they can include the same invoices. Pounds, percentages and days cannot be ranked against each other.

CHOOSE THREE

Pick the three most material: weigh impact, cash urgency and ease of fix. Install them in that order.

LEAK A

WHICH LEAK	FIRST ACTION	START DATE

LEAK B

WHICH LEAK	FIRST ACTION	START DATE

LEAK C

WHICH LEAK	FIRST ACTION	START DATE

DATE TO RE-RUN THESE TESTS 30 days from now

WHERE THIS STOPS

What this map does not do

It measures what you can change, and gives you a system for each, including the pressures that start outside your business. It does not tell you which fixes to do first for your team, or how to make them stick once the week gets busy.

That part is sequencing: choosing the order, fitting the systems to the people who will run them, and checking they are still in use in three months. Seven leaks measured on one afternoon are a start. Closing them is the work.

THE FULLER PICTURE

A 30-minute discovery call takes your three most material leaks and ranks the fixes by impact, whether or not we work together.

This is a management diagnostic, not accounting, tax or legal advice. Figures are indicative estimates for prioritisation. Reconcile them to your accounts and contracts before making financial or legal decisions.

Want to install this properly?

You have the leaks and your numbers. A discovery call puts them in the right order and fits each system to the people who will run it.

Book a discovery call

Nuno Fontoura
Founder, NabiaEdge
info@nabiaedge.com · nunofontoura.com